Great Learning

6-7 minutes

Before starting this case study and attending the Mentor-Led Session (MLS), familiarize yourself with the common industry terminology and the standard manual workflow used to review insider trading transactions.

Industry Glossary

1. Insider Trading

The buying or selling of a company's securities by individuals who have access to important non-public information about the company. Because these individuals hold positions of trust, their transactions are closely monitored by regulators.

2. SEC Form 4

A regulatory filing submitted to the U.S. Securities and Exchange Commission (SEC) that reports changes in ownership of company securities by corporate insiders.

3. Corporate Insider

An executive, director, officer, or major shareholder who has access to confidential company information and is required to disclose certain stock transactions.

4. SEC EDGAR Database

The Electronic Data Gathering, Analysis, and Retrieval (EDGAR) system is the SEC's public database that stores regulatory filings submitted by companies and corporate insiders.

5. Trade Surveillance

The ongoing process of monitoring securities transactions to identify trades that may require further compliance review.

6. Compliance Investigation

A structured review conducted to determine whether a transaction complies with regulatory requirements and the organization's internal compliance policies.

7. Role-Based Trading Limits